EXECUTIVE SUMMARY

A. Introduction

Cabug was the former name of Enrile when it was one among the barrios of Tuguegarao. It was established as a separate town in September 1841 and was named in honor of Governor Pascual Enrile, who was the prime mover for the construction of roads in Northern Luzon. However, there was no enabling law or records available showing the creation of the municipality. This 3rd class Municipality produces rice, corn, tobacco, peanuts and sugar cane.

Financial, compliance and value for money audit were conducted on the accounts and operations of the Municipality for calendar year 2020. The audit objectives were to ascertain the propriety of the disbursements, reliability of the financial reports, adequacy of accounting records, compliance with laws, rules and regulations, as well as adherence to prescribed policies and procedures. Likewise, the audit was conducted to determine whether plans, programs, activities and projects for the year were attained in an efficient, economic and effective manner.

B. Financial Highlights

The financial condition and results of operations of the Municipality for CY 2020, with comparative figures for CY 2019, are as follows:

Accounts	2020	2019	Increase/(Decrease)
Assets	282,776,840.46	214,973,582.47	67,803,257.99
Liabilities	83,000,225.06	79,331,044.00	3,669,181.06
Government Equity	199,776,615.40	135,642,538.47	64,134,076.93
Income	162,679,759.00	147,456,637.28	15,223,121.80
Expense	135,673,514.48	139,161,679.44	(3,488,164.96)
Appropriation	166,494,329.00	148,554,433.00	17,939,896.00
Obligation	148,807,213.09	126,761,544.43	22,045,668.60

The funds received by the Municipality and transferred to other agencies and non-government and people's organizations for CY 2020, with comparative figures for CY 2019, are presented in the following table:

Funds Received from Other Agencies	2020	2019	Increase/(Decrease)
NGAs	40,485,025.95	16,468,000.00	24,017,025.95
LGUs	0.00	0.00	0.00
NGOs/Pos	0.00	0.00	0.00
GOCCs	0.00	500,000.00	(500,000.00)
Total	**40,485,025.95**	**16,968,000.00**	23,517,025.95

Funds Transferred to Other Agencies	2020	2019	Increase/(Decrease)
NGAs	498,292.42	1,469,915.25	(971,622.83)
LGUs	457,429.00	6,239,517.00	(5,782,088.00)
NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	**955,721.42**	**7,709,432.25**	**(6,753,710.83)**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements of the Municipality as of December 31, 2020 due to the effects of the noted deficiencies on the balances of some accounts, as summarized in the succeeding paragraph and as discussed in detail in part II of the Report.

D. Summary of Significant Observations and Recommendations

1. The correctness and existence of PPE accounts, with a reported net book balance of P207,712,205.41 as at year-end, remained unreliable due to the:

    a) failure of the Municipal Accountant and Municipal General Services Officer to support the Inventory of PPEs with the Reports of Physical Count of Property, Plant and Equipment, Property, Plant and Equipment Ledger Cards (PPELC) and Property Cards, respectively, as required in Section 269 of the Government Accounting Manual for Local Government Units (LGUs), Volume I;

    b) failure of the Municipal GSO to prepare and submit the Reports on the Physical Count of PPEs as required in Section 266 of the Government Accounting Manual for LGUs, Volume I;

    c) deficiencies noted in the issuance of PPE to end-users as required in Section 259 of the Government Accounting Manual for LGUs, Volume I;

    d) misclassifications of PPE items, which is not in conformity with the Revised Chart of Accounts for LGUs prescribed in COA Circular No. 2020-004;

    e) unrecognized Medical Equipment amounting to P685,000.00, contrary to Paragraph 14 of Philippine Public Sector Accounting Standards 17; and

    f) non-disclosure of the details of the adjustments and reclassifications of PPE account, as required in Paragraphs 127 (c) and 129 of PPSAS No. 1.

We recommended that the Management:

a) Undertake the one-time cleansing of the Property, Plant and Equipment in accordance with COA Circular No. 2020-006 dated January 31, 2020;

b) Require the Municipal Accountant and the Municipal GSO to:

i. maintain the required Property, Plant and Equipment Ledger Cards, Real Property Ledger Cards and Property Cards, respectively;

ii. prepare and submit the Inventory Reports using the prescribed Reports on the Physical Count of PPEs and reconcile the deficiencies noted in the records maintained by the Municipal Accountant and Municipal GSO and effect the necessary actions;

iii. ensure that all PPE items covered with Property Acknowledgment Receipts are included in the Reports on the Physical Count of PPEs and Inventory Reports of the Accounting Office. Likewise, require the Municipal GSO to use Property Acknowledgment Receipts in issuing the property to end-users, and ensure that PARs are renewed every January of the third year after issue;

c) Require the Municipal Accountant to effect the:

i. reclassification of the misclassified accounts to fairly present the financial statements;

ii. correcting entry for the unrecognized Medical Equipment amounting to P685,000.00; and

iii. disclose all required financial information in the Notes to Financial Statements to assist the users in understanding the financial statements and to provide them with additional information value.

2. The accuracy and validity of the year-end balances of various accounts under the General Fund, Special Education Fund and Trust Fund could not be relied upon due to the absence of subsidiary ledgers and supporting schedules, which is not in conformity with the provisions of the Government Accounting Manual for LGUs, Volume I, thus, resulting in the misstatement of the financial statements.

   We recommended that the Management direct the Municipal Accountant to submit immediately the supporting schedules of the affected accounts as of December 31, 2020, otherwise appropriate sanctions will be imposed pursuant to existing rules and regulations.

3. The year-end balances of various accounts under the General Fund, Special Education Fund and Trust Fund totaling P5,161,327.51 were of doubtful validity since these account balances were reflected as unidentified balances, resulting in the misstatement of the financial statements.

   We recommended that the Management require the Municipal Accountant to: a) prioritize the establishment of subsidiary ledgers for the concerned accounts; and b) reconcile and analyze the accounts to determine whether they warrant adjustment or write-off in accordance with existing COA rules and regulations.

4. Out of the 17 bidded infrastructure projects for the year, four (4) contract agreements remained unsubmitted to the Office of the Auditor, contrary to COA Circular 2009-001 dated February 12, 2009, thus delaying review and evaluation of the contracts.

   We recommended that the Management submit to the Office of the Auditor the perfected contract agreements for the four (4) infrastructure projects to avoid imposition of the penalty clause embodied in Item 4 of COA Circular 2009-001 and suspension in audit of payments made.

5. The Municipal Accountant did not submit the duly approved disbursement vouchers of two (2) checks totaling P1,021,336.59, issued by the Municipality, contrary to the provisions of Sections 39(1), 39(3) and 100 of Presidential Decree No. 1445, thus, the validity, legality and propriety of the disbursement cannot be determined.

   We recommended that the Municipal Accountant strictly comply with auditing and accounting laws, rules and regulations. We likewise recommended that the Municipal Accountant submit immediately the duly approved disbursement vouchers, together with the supporting documents to the Office of the Auditor. Otherwise, the said transactions shall be disallowed/suspended in audit.

6. Various expenditures exceeded the appropriated/budgeted amounts totaling P28,035,074.41, contrary to Section 4(1) of Presidential Decree No. 1445 and Section 305(a) of the Local Government Code of 1991 or RA No. 7160, thereby, rendering the transactions illegal.

   We recommended that the Management:

   a) Strictly observe Section 4(1) of PD 1445 and Section 305(a) of RA No. 7160 and ensure that all disbursements are supported by an appropriation;
   b) Require the Municipal Budget Officer and Municipal Accountant to maintain the required registries to prevent incurrence of expenditures in excess of allotments;

c) Ensure that the municipal annual budget is carefully prepared and reviewed so that the actual needs of the Municipality are properly allocated in the budget;
d) Ensure that the Obligation Request, which is the basis for recording of obligations in the registries, is properly accomplished to facilitate monitoring of expenses and balances of appropriations; and
e) Submit an explanation and Municipal Resolutions for Realignment/Augmentation, if any, for the incurrence of illegal expenditures, otherwise, the full amount be disallowed in audit since the same is considered as an illegal disbursement of public funds.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions:					
Prior Years	12,494,613.19	0.00	0.00	12,494,613.19	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**12,494,613.19**	**0.00**	**0.00**	**12,494,613.19**	**0.00%**
Disallowances:					
Prior Years	3,252,239.03	9,069,742.01	0.00	12,321,981.04	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**3,252,239.03**	**9,069,742.01**	**0.00**	**12,321,981.04**	**0.00%**
Charges:					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**0.00**	**0.00**	**0.00**	**0.00**	**0.00%**

The 160 Notices of Disallowance issued during the year totaling P9,065,242.01 are under appeal.

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Of the 43 audit recommendations embodied in the CY 2019 Annual Audit Report, three (3) were fully implemented, 17 were partially implemented and 23 were not implemented. The details of implementation of prior year's audit recommendations are discussed in Part III of this Report.